FORMAL ORGANIZATIONS

W. Richard Scott

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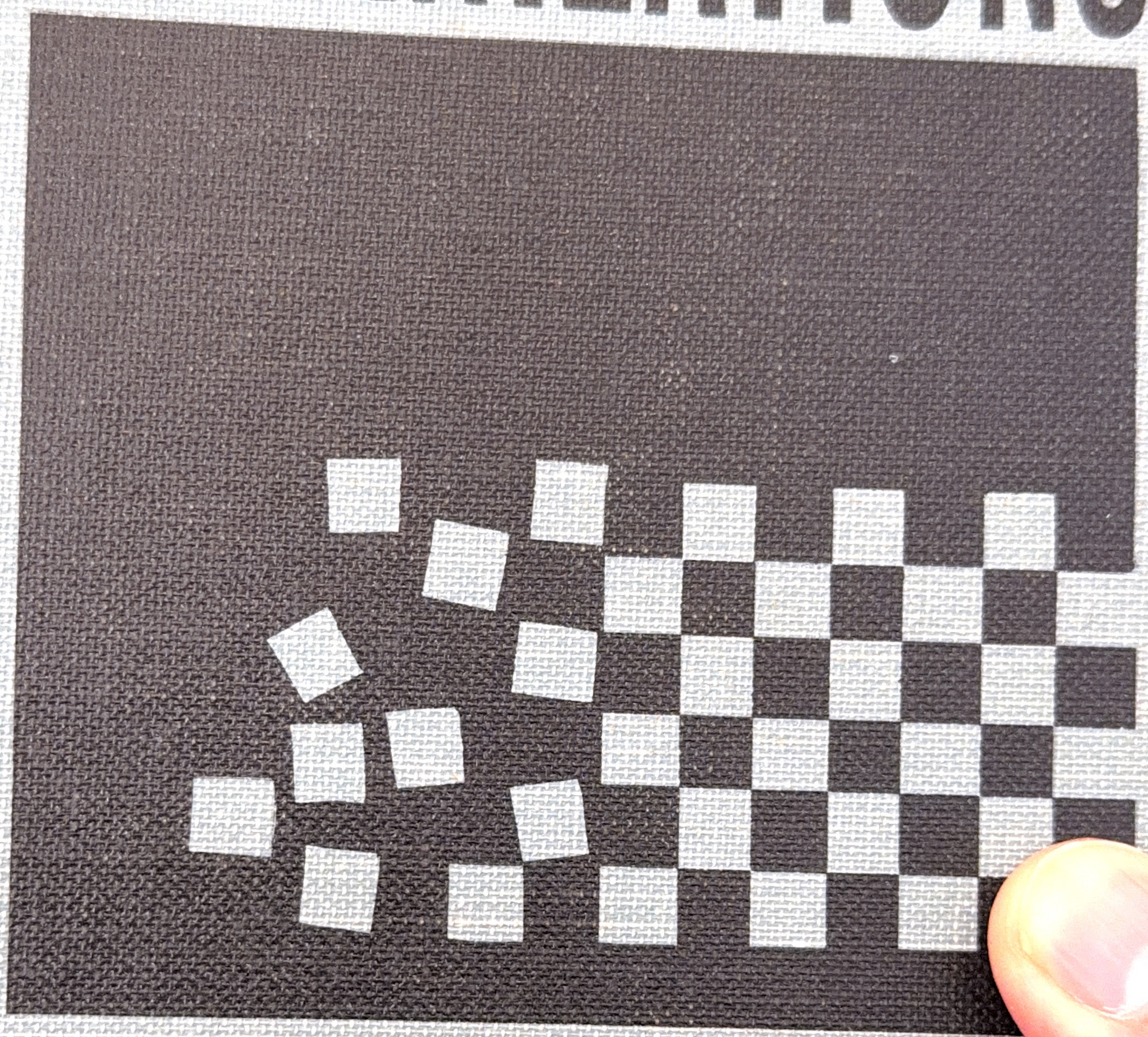

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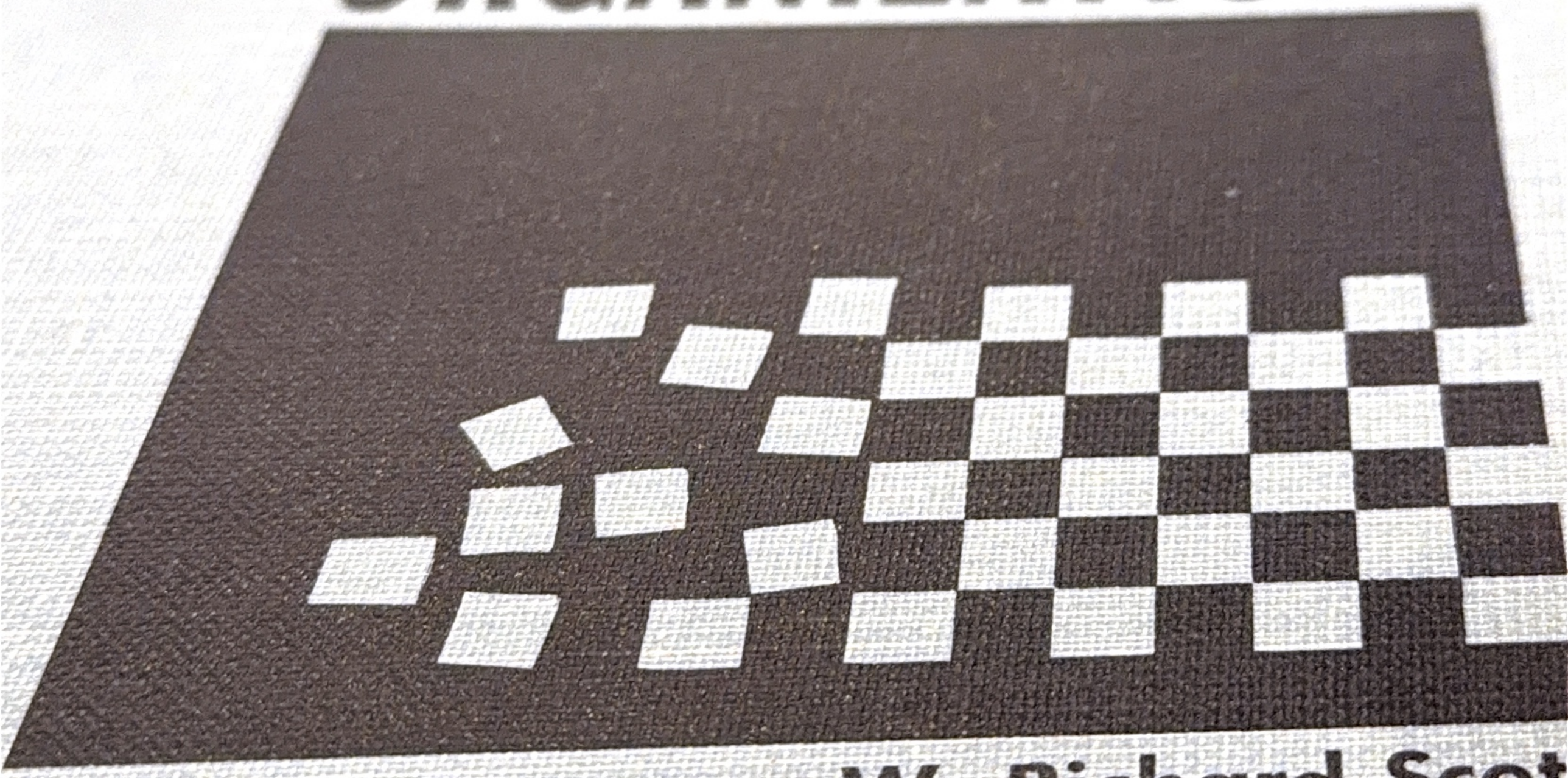

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FORMAL ORGANIZATIONS: A Comparative Approach

BY PETER M. BLAU

UNIVERSITY OF CHICAGO

AND W. RICHARD SCOTT

STANFORD UNIVERSITY

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An Intext Publisher • Scranton, Pennsylvania 18515

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Preface

Modern man is man in organizations. If the most dramatic fact that sets our age apart from earlier ones is that we live today under the shadow of nuclear destruction, the most pervasive feature that distinguishes contemporary life is that it is dominated by large, complex, and formal organizations. Our ability to organize thousands and even millions of men in order to accomplish large-scale tasks—be they economic, political, or military—is one of our greatest strengths. The possibility that free men become mere cogs in the bureaucratic machineries we set up for this purpose is one of the greatest threats to our liberty.

This book presents a sociological analysis of some of the main facets of organizational life. We shall examine the nature and types of formal organizations, the connections between them and the larger social context of which they are a part, and various aspects of their internal structure, such as peer group and hierarchical relations in organizations, processes of communication, management and impersonal mechanisms of control. The investigation of the various topics will involve the discussion of many studies of organizations and numerous related studies from the literature. Our aim, however, has not been to cover the entire relevant literature. No single work could achieve such complete coverage, since there exist literally thousands of books and articles on organizations. (The extensive bibliography at the end of this book contains only about one-third of the sources we have collected, with the help of Patricia Denton, and our own compilation is undoubtedly far from exhaustive.) Our intent, rather, has been to select those empirical studies and general discussions that help to clarify a particular problem under review. Frequently we have drawn on our own research on organizations, not only because we are most familiar with this material, but also to provide some continuity in the empirical examples.

We are indebted to Ivan C. Belknap, Leonard Broom, and Otis Dudley Duncan for many helpful criticisms and suggestions. We gratefully acknowledge financial support from the Ford Foundation and the Social Science Research Committee of the University of Chicago (to Blau) and a fellowship from the Social Science Research Council

(to Scott). The typing services of Nancy Levinson Scott and Jayne Salzman Heron are appreciated, as is Joan Stelling's assistance with the indexes. Finally, we owe thanks for support and encouragement to Zena Smith Blau and Joy Whitney Scott.

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W. RICHARD SCOTT

FORMAL ORGANIZATIONS

CHAPTER ONE

Introduction

This book is about organizations—organizations of various kinds, with diverse aims, of varying size and complexity, and with different characteristics. What they all have in common is that a number of men have become organized into a social unit—an organization—that has been established for the explicit purpose of achieving certain goals. If the accomplishment of a task requires that more than a mere handful of men work together, they cannot simply proceed by having each do whatever he thinks needs to be done; rather, they must first get themselves organized. They establish a club or a firm, they organize a union or a political party, or they set up a police force or a hospital, and they formulate procedures that govern the relations among the members of the organization and the duties each is expected to perform. Once firmly established, an organization tends to assume an identity of its own which makes it independent of the people who have founded it or of those who constitute its membership. Thus organizations can persist for several generations, not without change but without losing their fundamental identity as distinct units, even though all members at some time come to differ from the original ones. The United States Army today is the same organization as the United States Army in the World War of 1914–1918, even though few if any of its 1918 personnel have remained in it and its structure has undergone basic alterations.

Even when men who are living together do not deliberately plan and institute a formal organization, however, a social organization develops among them; that is, their ways of acting, of thinking, and in particular of interacting with one another come to assume distinct regularities. Neighborhoods, families, work groups, and play groups reveal such an organization of social life, and so do total societies. Indeed, the entire subject matter of the social sciences can be considered to consist of explanations of various aspects of social organization. Whenever a social scientist discovers a new principle or social pattern in what had previously appeared to be chaos—and this kind of discovery is the object of all social theory and research—he thereby demonstrates something about the orderly structure or organization of social life. The study of social classes and stratification is concerned

with one aspect of the organization of societies; the study of economics, with another—for even an unplanned economy is not an economy without organization. But there is obviously a difference between a planned economy and an economy whose organization emerges as the result of the interplay between diverse forces; and there is a parallel, more extreme, difference between the way a business firm is organized and the way a relatively free market becomes organized. The contrast in both cases is not one between organization and chaos but one between two distinct principles of organization, and this contrast is what differentiates the specific subject matter of this book—*formal* organizations—from the general subject matter of sociology and other social sciences—social organization.

The Concept of Formal Organization

Social Organization and Formal Organizations. Although a wide variety of organizations exists, when we speak of an organization it is generally quite clear what we mean and what we do not mean by this term. We may refer to the American Medical Association as an organization, or to a college fraternity; to the Bureau of Internal Revenue, or to a union; to General Motors, or to a church; to the Daughters of the American Revolution, or to an army. But we would not call a family an organization, nor would we so designate a friendship clique, or a community, or an economic market, or the political institutions of a society. What is the specific and differentiating criterion implicit in our intuitive distinction of organizations from other kinds of social groupings or institutions? It has something to do with how human conduct becomes socially organized, but it is not, as one might first suspect, whether or not social controls order and organize the conduct of individuals, since such social controls operate in both types of circumstances.

Before specifying what is meant by formal organization, let us clarify the general concept of social organization. "Social organization" refers to the ways in which human conduct becomes socially organized, that is, to the observed regularities in the behavior of people that are due to the social conditions in which they find themselves rather than to their physiological or psychological characteristics as individuals. The many social conditions that influence the conduct of people can be divided into two main types, which constitute the two basic aspects of social organizations: (1) the structure of social relations in a group or larger collectivity of people, and (2) the shared beliefs and orientations that unite the members of the collectivity and guide their conduct.

The conception of structure or system implies that the component units stand in some relation to one another and, as the popular expression "The whole is greater than the sum of its parts" suggests, that the relations between units add new elements to the situation.[1] This aphorism, like so many others, is a half-truth. The sum of fifteen apples, for example, is no more than fifteen times one apple. But a block of ice is more than the sum of the atoms of hydrogen and oxygen that compose it. In the case of the apples, there exist no linkages or relations between the units comprising the whole. In the case of the ice, however, specific connections have been formed between H and O atoms and among H_2O molecules that distinguish ice from hydrogen and oxygen, on the one hand, and from water, on the other. Similarly, a busload of passengers does not constitute a group, since no social relations unify individuals into a common structure.[2] But a busload of club members on a Sunday outing is a group, because a network of social relations links the members into a social structure, a structure which is an emergent characteristic of the collectivity that cannot be reduced to the attributes of its individual members. In short, a network of social relations transforms an aggregate of individuals into a group (or an aggregate of groups into a larger social structure), and the group is more than the sum of the individuals composing it since the structure of social relations is an emergent element that influences the conduct of individuals.

To indicate the nature of social relations, we can briefly dissect this concept. Social relations involve, first, patterns of social interaction: the frequency and duration of the contacts between people, the tendency to initiate these contacts, the direction of influence between persons, the degree of cooperation, and so forth. Second, social relations entail people's sentiments to one another, such as feelings of attraction, respect, and hostility. The differential distribution of social relations in a group, finally, defines its status structure. Each member's status in the group depends on his relations with the others—their sentiments toward and interaction with him. As a result, integrated members become differentiated from isolates, those who are widely respected from those who are not highly regarded, and leaders from followers. In addition to these relations between individuals within groups, relations also develop between groups, relations that are a source of still another aspect of social status, since the standing of the

1 For a discussion of some of the issues raised by this assertion, see Ernest Nagel, "On the Statement 'The Whole is More Than the Sum of Its Parts'," Paul F. Lazarsfeld and Morris Rosenberg (eds.), *The Language of Social Research*, Glencoe, Ill.: Free Press, 1955, pp. 519–527.

2 A purist may, concededly, point out that all individuals share the role of passenger and so are subject to certain generalized norms, courtesy for example.

group in the larger social system becomes part of the status of any of its members. An obvious example is the significance that membership in an ethnic minority, say, Puerto Rican, has for an individual's social status.

The networks of social relations between individuals and groups, and the status structure defined by them, constitute the core of the social organization of a collectivity, but not the whole of it. The other main dimension of social organization is a system of shared beliefs and orientations, which serve as standards for human conduct. In the course of social interaction common notions arise as to how people should act and interact and what objectives are worthy of attainment. First, common values crystallize, values that govern the goals for which men strive—their ideals and their ideas of what is desirable—such as our belief in democracy or the importance financial success assumes in our thinking. Second, social norms develop—that is, common expectations concerning how people ought to behave—and social sanctions are used to discourage violations of these norms. These socially sanctioned rules of conduct vary in significance from moral principles or mores, as Sumner calls them, to mere customs or folkways. If values define the ends of human conduct, norms distinguish behavior that is a legitimate means for achieving these ends from behavior that is illegitimate. Finally, aside from the norms to which everybody is expected to conform, differential role expectations also emerge, expectations that become associated with various social positions. Only women in our society are expected to wear skirts, for example. Or, the respected leader of a group is expected to make suggestions, and the other members will turn to him in times of difficulties, whereas group members who have not earned the respect of others are expected to refrain from making suggestions and generally to participate little in group discussions.

These two dimensions of social organization—the networks of social relations and the shared orientations—are often referred to as the social structure and the culture, respectively.[3] Every society has a complex social structure and a complex culture, and every community within a society can be characterized by these two dimensions of social organization, and so can every group within a community (except that the specific term "culture" is reserved for the largest social systems). The prevailing cultural standards and the structure of social relations

[3] See the recent discussion of these concepts by Kroeber and Parsons, who conclude by defining culture as "transmitted and created content and patterns of values, ideas, and other symbolic-meaningful systems" and social structure or system as "the specifically relational system of interaction among individuals and collectivities." A. L. Kroeber and Talcott Parsons, "The Concepts of Culture and of Social System," *American Sociological Review,* 23 (1958), p. 583.

serve to organize human conduct in the collectivity. As people conform more or less closely to the expectations of their fellows, and as the degree of their conformity in turn influences their relations with others and their social status, and as their status in further turn affects their inclinations to adhere to social norms and their chances to achieve valued objectives, their patterns of behavior become socially organized.

In contrast to the social organization that emerges whenever men are living together, there are organizations that have been deliberately established for a certain purpose.[4] If the accomplishment of an objective requires collective effort, men set up an organization designed to coordinate the activities of many persons and to furnish incentives for others to join them for this purpose. For example, business concerns are established in order to produce goods that can be sold for a profit, and workers organize unions in order to increase their bargaining power with employers. In these cases, the goals to be achieved, the rules the members of the organization are expected to follow, and the status structure that defines the relations between them (the organizational chart) have not spontaneously emerged in the course of social interaction but have been consciously designed a priori to anticipate and guide interaction and activities. Since the distinctive characteristic of these organizations is that they have been formally established for the explicit purpose of achieving certain goals, the term "formal organizations" is used to designate them. And this formal establishment for explicit purpose is the criterion that distinguishes our subject matter from the study of social organization in general.

Formal Organization and Informal Organization. The fact that an organization has been formally established, however, does not mean that all activities and interactions of its members conform strictly to the official blueprint. Regardless of the time and effort devoted by management to designing a rational organization chart and elaborate procedure manuals, this official plan can never completely determine the conduct and social relations of the organization's members. Stephen Vincent Benét illustrates this limitation when he contrasts the military blueprint with military action:

> If you take a flat map
> And move wooden blocks upon it strategically,
> The thing looks well, the blocks behave as they should.
> The science of war is moving live men like blocks.
> And getting the blocks into place at a fixed moment.
> But it takes time to mold your men into blocks

[4] Sumner makes this distinction between, in his terms, "crescive" and "enacted" social institutions. William Graham Sumner, *Folkways*, Boston: Ginn, 1907, p. 54.

> And flat maps turn into country where creeks and gullies
> Hamper your wooden squares. They stick in the brush,
> They are tired and rest, they straggle after ripe blackberries,
> And you cannot lift them up in your hand and move them.[5]

In every formal organization there arise informal organizations. The constituent groups of the organization, like all groups, develop their own practices, values, norms, and social relations as their members live and work together. The roots of these informal systems are embedded in the formal organization itself and nurtured by the very formality of its arrangements. Official rules must be general to have sufficient scope to cover the multitude of situations that may arise. But the application of these general rules to particular cases often poses problems of judgment, and informal practices tend to emerge that provide solutions for these problems. Decisions not anticipated by official regulations must frequently be made, particularly in times of change, and here again unofficial practices are likely to furnish guides for decisions long before the formal rules have been adapted to the changing circumstances. Moreover, unofficial norms are apt to develop that regulate performance and productivity. Finally, complex networks of social relations and informal status structures emerge, within groups and between them, which are influenced by many factors besides the organizational chart, for example by the background characteristics of various persons, their abilities, their willingness to help others, and their conformity to group norms. But to say that these informal structures are not completely determined by the formal institution is not to say that they are entirely independent of it. For informal organizations develop in response to the opportunities created and the problems posed by their environment, and the formal organization constitutes the immediate environment of the groups within it.

When we speak of formal organizations in this book, we do not mean to imply that attention is confined to formally instituted patterns; quite the contrary. It is impossible to understand the nature of a formal organization without investigating the networks of informal relations and the unofficial norms as well as the formal hierarchy of authority and the official body of rules, since the formally instituted and the informally emerging patterns are inextricably intertwined. The distinction between the formal and the informal aspects of organizational life is only an analytical one and should not be reified; there is only one actual organization. Note also that one does not speak of the informal organization of a family or of a community. The term "informal organization" does not refer to all types of emer-

[5] From *John Brown's Body*. Holt, Rinehart & Winston, Inc. Copyright, 1927, 1928, by Stephen Vincent Benét. Copyright renewed, 1955, 1956, by Rosemary Carr Benét.

gent patterns of social life but only to those that evolve within the framework of a formally established organization. Excluded from our purview are social institutions that have evolved without explicit design; included are the informally emerging as well as the formally instituted patterns within formally established organizations.

The decision of the members of a group to formalize their endeavors and relations by setting up a specific organization, say, a social and athletic club, is not fortuitous. If a group is small enough for all members to be in direct social contact, and if it has no objectives that require coordination of activities, there is little need for explicit procedures or a formal division of labor. But the larger the group and the more complex the task it seeks to accomplish, the greater are the pressures to become explicitly organized.[6] Once a group of boys who merely used to hang around a drugstore decide to participate in the local baseball league, they must organize a team. And the complex coordination of millions of soldiers with thousands of specialized duties in a modern army requires extensive formalized procedures and a clear-cut authority structure.

Since formal organizations are often very large and complex, some authors refer to them as "large-scale" or as "complex" organizations. But we have eschewed these terms as misleading in two respects. First, organizations vary in size and complexity, and using these variables as defining criteria would result in such odd expressions as "a small large-scale organization" or "a very complex complex organization." Second, although formal organizations often become very large and complex, their size and complexity do not rival those of the social organization of a modern society, which includes such organizations and their relations with one another in addition to other nonorganizational patterns. (Perhaps the complexity of formal organizations is so much emphasized because it is man-made whereas the complexity of societal organization has slowly emerged, just as the complexity of modern computers is more impressive than that of the human brain. Complexity by design may be more conspicuous than complexity by growth or evolution.)

The term "bureaucratic organization," which also is often used, calls attention to the fact that organizations generally possess some sort of administrative machinery. In an organization that has been formally established, a specialized administrative staff usually exists that is responsible for maintaining the organization as a going concern and for coordinating the activities of its members. Large and complex organizations require an especially elaborate administrative apparatus. In a large factory, for example, there is not only an industrial work

[6] For a discussion of size and its varied effects on the characteristics of social organization, see Theodore Caplow, "Organizational Size," *Administrative Science Quarterly,* 1 (1957), pp. 484–505.

force directly engaged in production but also an administration composed of executive, supervisory, clerical, and other staff personnel. The case of a government agency is more complicated, because such an agency is part of the administrative arm of the nation. The entire personnel of, say, a law-enforcement agency is engaged in administration, but administration of different kinds; whereas operating officials administer the law and thereby help maintain social order in the society, their superiors and the auxiliary staff administer agency procedures and help maintain the organization itself.

One aspect of bureaucratization that has received much attention is the elaboration of detailed rules and regulations that the members of the organization are expected to faithfully follow. Rigid enforcement of the minutiae of extensive official procedures often impedes effective operations. Colloquially, the term "bureaucracy" connotes such rule-encumbered inefficiency. In sociology, however, the term is used neutrally to refer to the administrative aspects of organizations. If bureaucratization is defined as the amount of effort devoted to maintaining the organization rather than to directly achieving its objectives, all formal organizations have at least a minimum of bureaucracy —even if this bureaucracy involves no more than a secretary-treasurer who collects dues. But wide variations have been found in the degree of bureaucratization in organizations, as indicated by the amount of effort devoted to administrative problems, the proportion of administrative personnel, the hierarchical character of the organization, or the strict enforcement of administrative procedures and rigid compliance with them.

The Study of Formal Organizations

Outline of Subject Matter. This book is a survey of theory and research on formal organization. Our aim is to examine some of the principles that govern organizational life. To discover those theoretical principles that can explain the structure and dynamics of organizations, we shall examine studies of a large number of organizations. Wherever possible, we shall systematically compare various organizations or segments of organizations in order to increase the scope and, so we hope, the validity of the tentative generalizations derived from the analysis.

Theory is both the end product and the starting point of scientific research. On the one hand, the objective of all scientific endeavor is to develop a body of substantive theory, that is, a set of interrelated verifiable generalizations that account for and predict the empirical phenomena that can be observed. On the other hand, scientific research must be guided by a theoretical framework, that is, a system of inter-

related concepts that suggest theoretically fruitful lines of empirical investigation. The field of formal organization is still at a very early stage of development. There exists as yet very little substantive theory in this field, not only far less than in the natural sciences but also less than in other fields in sociology. Most theoretical analysis is on the level of developing a conceptual framework, combined with some speculation about possible substantive propositions. It is, therefore, appropriate to precede the analysis of empirical studies, which occupies most of the book, with a chapter (Chapter II) that presents theoretical discussions of formal organizations.

Max Weber's theoretical analysis of formal organizations and their bureaucratic characteristics is critically examined in Chapter II, and so are two other theoretical conceptions of formal organizations. These discussions define the major dimensions that characterize organizations in general and that must be taken into consideration in the study of every kind of organization. But just as important as a knowledge of what all organizations have in common is an understanding of what distinguishes various types. Hence, we discuss in the second part of Chapter II, criteria for differentiating organizations into distinct types. A presentation of empirical studies follows, to illustrate the differences among four types.

Organizations do not exist in a vacuum but in communities and societies. It has often been pointed out that much research on organizations neglects to investigate the important relationships between them and their environment. To avoid this omission, we devote two chapters to this topic. Chapter III deals with the relations between the members of an organization and the public with whom they have direct contact, for example, their clients. We shall examine the significance of the orientations of members of the organization to the public and of the orientations of the public to the organization and its personnel, paying special attention to two kinds of implications of conflict between these two parties: implications for the informal organization of the members of the organization, on the one hand, and implications for that of the client group, on the other. Chapter VIII is concerned with the broader social context of organizational life. Cross-cultural comparisons and time trends are used to infer how the environment influences organizations and what organizational attributes tend to occur and to change together, and the dynamic interrelations between organizations are analyzed.

Chapters III and VIII, in which the external relations of organization are examined from two different perspectives, provide the framework that precedes and follows the discussion of the internal structure of organizations in Chapters IV to VII. In Chapter IV we discuss peer-group relations and the informal structure of work groups, with par-

ticular emphasis on two problems, namely, how the group structure influences operations, and how the group structure, in turn, is affected by the conditions in the formal organization and in the society at large. In Chapter V, experiments and field studies are drawn upon to investigate processes of communication and their implications for task performance. The analysis of the interdependence between patterns of communication and status structure in this chapter furnishes a bridge between the discussion of peer relations in Chapter IV and that of hierarchical relations in Chapters VI and VII. Chapter VI deals with supervision and the structure of hierarchical authority. Management is examined in Chapter VII, as are impersonal mechanisms of control and some problems posed by pseudo-democratic practices in hierarchical organizations.

Viewed in another way, Chapters III to VIII proceed from the analysis of simpler aspects of the organization of social life to that of more complex ones. Starting with research on sociopsychological orientations, we go on to study interpersonal relations and how they become structured in small peer groups; next we look at the implications of communication for differentiation in the social structure, and only then do we investigate the complex hierarchical structures and control mechanisms in formal organizations, to turn finally to the relations among different organizations and those between them and their social context.

Throughout the book, there are occasions for referring to processes of change in organizations. But only in the last chapter are the dynamic processes of organizational change made the focus of attention around which a summary of the main points covered is organized. We shall suggest that various conflicts in complex organizations, which rigid bureaucratization is designed to conceal and suppress, are an inevitable source of change, and that the resulting organizational developments can be conceptualized as dialectical processes.

Before starting this survey of organization theory and research, however, we must complete our introduction to the subject matter by presenting two methodological topics. We want to examine first a methodological dilemma posed by the study of organization, and then briefly review the research methods used in empirical investigation of organizations.

A Dilemma in the Study of Organization. The object of all science is to explain things. What do we mean by a scientific explanation? An observed fact is explained by reference to a general principle, that is, by showing that the occurrence of this fact under the given circumstances can be predicted from the principle. To first establish such an explanatory principle or theoretical generalization, many particular events must be observed and classified into general categories that

make them comparable. To explain a principle requires a more general proposition from which this and other similarly specific principles can be inferred.

Not only testing but even originating an explanatory hypothesis requires information on a number of independent cases. The insight that produces the hypothesis may appear to rest on only a single instance, but this appearance is illusory. Assume that a worker has quit his job shortly after having been promoted. An intensive analysis of this one case might reveal that he had been liked and well integrated in his former work group but was an isolate in his present one, suggesting the conclusion that lack of social integration was responsible for his resignation. This change in social integration with peers, however, surely was not the only change that occurred in his life at this period. His duties had been altered, and so had his income; perhaps he had just turned fifty, and maybe his relatives had chosen this time for a visit. Hence, even the insight that lack of social integration might be the variable that accounts for the worker's resignation rests on an implicit comparison of this case with others, a comparison that indicates that reaching the age of fifty is not usually accompanied by quitting one's job, and neither is entertaining relatives, but that lack of social integration often is. If deriving hypotheses requires the implicit comparison of several cases, testing them requires the explicit and systematic comparison of many independent cases. To verify the explanatory hypothesis advanced it would be necessary to show that in a representative sample of workers those who lack social integration quit in larger numbers than those who are integrated in their work groups. Such use of samples to test hypotheses is the typical procedure in survey research.

But this procedure of the sample survey, by tearing each individual from his social context and treating him as an "independent" case, ignores the networks of relations between individuals and groups —the very core of the study of social organization. The community study of the anthropology type, which focuses upon the interdependence between parts in the social system, is in this respect better suited for the study of organization than is the survey. For if our object is to analyze the relations between the elements in a social structure, we must not atomize it into its component elements. The anthropological method, however, while retaining the structural characteristics of the subject under study, provides information on only a single case, and one case is not sufficient for arriving at valid explanatory generalizations.

A fundamental dilemma is posed for the study of organizations by the double requirement of examining the interdependence between

elements in a social structure, on the one hand, and of observing many independent cases to substantiate generalizations, on the other. Various stages of industrial research illustrate how attempts to resolve this dilemma on one level reintroduce it on another. Early research conducted in factories was concerned with such problems as worker fatigue and morale. These surveys treated workers as independent cases, furnishing a basis for generalizations about individuals, but ignoring the social relations among workers. Under the influence of Mayo and his associates, the emphasis of industrial research shifted to the significance of the human relations on the job for work satisfaction and productivity. The method typically employed was the case study of a single work group, as exemplified by the well-known Hawthorne studies.[7] These case studies furnished important insights into the informal organization of work groups, but isolated cases are not an adequate basis for valid generalizations. In recognition of this problem, social scientists have turned more recently to the systematic comparison of a sample of work groups or all the groups in a large factory.[8] Treating groups rather than individuals as independent units of analysis permits making generalizations about the internal structure of work groups,[9] but it ignores the interrelations of these groups in the larger industrial organization. And if the investigator analyzes this interdependence among the various groups in the factory—that is, the structure of the formal organization—he again is left with only a single case. General propositions about formal organizations must be based on the investigation of a large number of them. And even when comparable empirical data on many organizations are available, conceptualizing the organizations as independent cases would involve ignoring their interdependence in the larger society, whereas focusing upon their interdependence would leave the investigator, once more, with only one case.

This dilemma cannot be definitively resolved. For regardless of which organizations are compared, they are inevitably part of a larger social organization that cannot be systematically examined. Even a

[7] F. J. Roethlisberger and William J. Dickson, *Management and the Worker,* Cambridge, Mass.: Harvard University Press, 1939, pp. 19–186; 379–548.

[8] For an example of this type of research, see Stanley E. Seashore, *Group Cohesiveness in the Industrial Work Group,* Ann Arbor: Institute for Social Research, University of Michigan, 1954.

[9] Although groups within an organization, or individuals within a group, are often treated as independent cases, they do not, strictly speaking, meet the statistical criterion of complete independence. The problem posed by the analysis of such data is quite similar to that of the economist working with time-series data or that of the geographer and ecologist working with data from contiguous areas.

comparative study of entire societies could advance generalizations only about their internal organization and not about the international relations that characterize the world-wide organization of societies, of which there is only one case at any one time. But while this dilemma cannot be resolved in principle, once it is recognized it poses little difficulty for specific empirical studies with limited objectives. A study of a sample of work groups in a firm makes it possible to generalize about group structure, although not about the structure of formal organization. To arrive at the latter type of generalizations requires systematic comparison of a fair number of different organizations—ideally, a representative sample of them. In short, the important practical implication of the dilemma is that the research design must be adapted to the level of organization to be explained.

It is in the light of these considerations that the study of formal organization assumes special significance at the present stage of sociological knowledge. If the early sociologists were primarily concerned with broad problems of social organization, and neglected questions of scientific evidence, later ones became preoccupied with refining methods for testing hypotheses, and were willing to sacrifice the sociological focus on organized social relations for neatness of research design. Most theories of the pioneer sociologists illustrate the first trend, and most attitude surveys and demographic analyses, the second. Recently, however, the gap has been narrowed between the methodologically naive students of social organization and the theoretically naive rigorous researchers. There has been a growing refusal to be impaled on the horns of this dilemma, and an increasing emphasis on obtaining systematic data about social organization instead of collecting rigorous data only about individuals and merely impressionistic information about the social relations and shared beliefs that link them into a common structure. The tremendous expansion of the field of small groups in the past two decades is a reflection of this concern. In the study of small groups it is easy to compare systematically a number of independent cases of social organization, often under experimentally controlled conditions, whereas it is not easy to do the same in, say, community studies. As a result, research on small groups has made important contributions to an understanding of various aspects of group structure, such as social cohesion. This kind of work has been an essential first step in the systematic study of social organization—a knowledge of simpler systems is needed before one can understand more complex ones—but only a first step. A host of problems of organizational life cannot be clarified on the basis of observations of small groups because they simply do not occur in these groups. Obvious examples are the influence of the institutional context on group structure and the interrelations between groups in a hierarchical

system. Research on formal organizations, on the other hand, provides opportunities for investigating these kinds of problems.

We consider the study of formal organization to be capable of making the greatest contributions to the advancement of systematic sociology at this juncture. Organizations are, on the average, smaller and less complex than communities or entire societies, but even aside from these differences the study of the former is less complicated than that of the latter. In contrast to communities or societies, formal organizations are characterized by explicit goals, an elaborate system of explicit rules and regulations, and a formal status structure with clearly marked lines of communication and authority.[10] This is not to say that the formally instituted arrangements dominate all patterns of conduct in the organization; far from it. But they do undoubtedly exert considerable influence on these patterns and thus reduce the freedom of movement of the emergent social forces. Since the most serious problem in the investigation of social life is to establish causal relations by disentangling the interplay among a large number of social forces, the fact that some of these are relatively fixed in a formal organization and only others vary simplifies the analysis. The official institutions in the organization control some of the conditions of social life, just as the experimenter in the laboratory does. (An important difference, of course, is that the researcher in an organization can usually not decide what is to be controlled, whereas the experimenter can.) The advantage of this control is illustrated in a study of the effects of variations in supervision on the productivity of office workers.[11] Many factors besides supervisory practices affect the productivity of work groups. By selecting for study a large number of work groups, however, all recruited in the same way, engaged in similar tasks, using similar equipment, subject to the same rules, and working for the same rewards, the most important of these factors were probably held constant. Holding them constant made it possible to attribute the observed differences in productivity to contrasting patterns of supervision. By controlling in this fashion some of the conditions in the situation, the formal organization provides an anchoring point that facilitates deriving and testing generalizations about social organization. In sum, the comparative study of formal organizations offers great promise for advancing systematic knowledge about the organization of social life.

[10] March and Simon make a similar point when they emphasize the specificity of formal organizations in contrast to the diffuseness which marks many of the other social processes within a society. See James G. March and Herbert A. Simon, *Organizations*, New York: Wiley, 1958, pp. 2–3.

[11] Daniel Katz *et al.*, *Productivity, Supervision and Morale in an Office Situation*, Ann Arbor: Institute for Social Research, University of Michigan, 1950, pp. 3–4.